Faropoint

Date: 07/31/2023

PT & LP
Quarterly Update – Q2 2023

Dear Investors,

The current economic landscape is characterized by rising prices, high interest rates, and stricter credit conditions, all of which are expected to adversely impact business investments, consumer spending, and transaction markets. These factors have led to a slowdown in economic growth and a decrease in demand in the office market. Despite a 1.9% increase in office-using employment, which added 635K jobs in the first half of the year, the office market has experienced negative absorption. In Q2 2022, there was a net absorption of negative 7.8M SF across the U.S., marking eight out of the last nine quarters with negative absorption nationwide. This trend has also contributed to an upward trajectory in the national vacancy rate, which reached 17.6% by the end of Q2 2022. This rate is reminiscent of levels seen after the previous two recessions: 17.3% in Q3 2010 and 17.6% in Q3 2003.[1]

[2]The office sector in the United States in recent years has faced both lower LTVs and falling values:

$72.7 B
The financing gap office owners to face
(CBRE EA forecasts)

26.4%
The lending volume originated in 2018-2020

Funding Gap for Loans Originated in 2019[1] (Maturing in 2024)

Due to large, expected value declines, the office sector has the largest funding gap by far at approximately $38.0 billion during 2024.

Sector	Total 2019 Origination Value ($B)	Percent Due within 5 Years	LTV (2019)	Future Expected LTV (H2 2022)	5 Years Value Change %	5 Years Funding Gap (2024)
Office	**$113**	**78%**	**72%**	**57%**	**-29%**	**$38**
Industrial	$58	57%	69%	59%	39%	($6.2)
Retail	$40	36%	63%	57%	-10%	$2.8
Multifamily	$287	18%	65%	59%	10%	$0.3

Scenario Comparison-Funding Gap for Loans Originated in 2019 (Maturing in 2024)

Examining alternate scenarios highlights how the office-sector pain differs from all others, with a large gap for the office sector suggesting distress will be forthcoming

Sector	5-Year Value Change % Baseline	5-Year Funding Gap Baseline	5-Year Value Change % Severe Downside	5-Year Funding Gap Severe Downside	5-Year Value Change % Downside	5-Year Funding Gap Downside	5-Year Value Change % Upside	5-Year Funding Gap Upside
Office	**-29%**	**$38**	**-43%**	**$48.18**	**-37%**	**$43.56**	**-14%**	**$28.04**
Industrial	39%	($6.25)	16%	$0.26	23%	($1.82)	65%	($13.58)
Retail	-10%	$2.80	-24%	$4.57	-19%	$3.84	2%	$1.20
Multifamily	10%	$0.35	-15%	$12.25	-4%	$7.08	27%	($7.75)

The office market, which has encountered various challenges in recent years, is facing another influential element in the last six months—the debt environment. This additional factor has further complicated the market dynamics and poses significant implications for our assets.

[1] U.S. National Office Sector, Cushman&Wakefield, Q2 2023
[2] CBRE Econometric Advisors, Mortgage Bankers Association June 8, 2023

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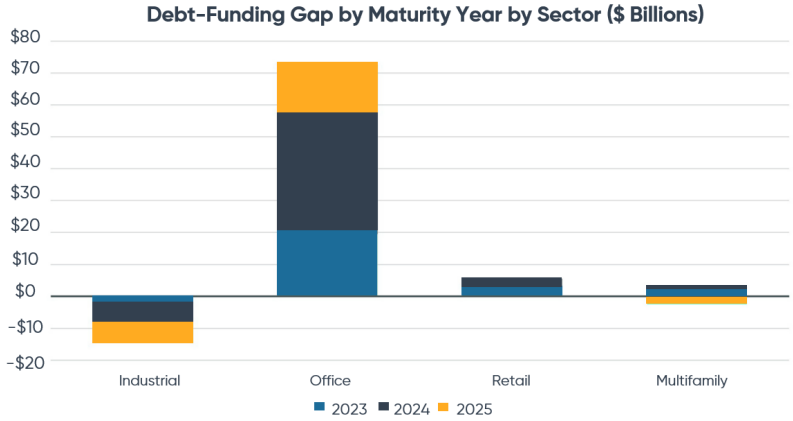
US banks face financial pressures due to declining commercial real estate values caused by remote work and reduced office space demand impacting institutions like First Republic which have stricter credit standards enforced by federal regulators concerned about loan quality.

Fundamentals continue to deteriorate for the office sector during 2023. As an example, a previous version of CBRE report published in December 2022 estimated a cumulative gap of $52.9 billion for the office sector. Based on more recent data, CBRE value forecasts have become even more pessimistic for the sector, driving the estimated funding gap higher to the $72.2 billion gap.[3]



Due to the current challenges faced by the Office Market, banks are now encountering difficulties in providing loans to this sector. **Recent publications describe how bank failures and loan defaults are raising concerns over capital availability and credit tightening:**

1. Small bank struggles could hit the real estate market hard, March 21, 2023.
2. Analysis: Small U.S. banks imperiled by big office loans, March 24, 2023.
3. U.S. banks sink on concerns about office real estate loans, June 1, 2023.
4. Banks tearing off Band-Aid on bad office loans, June 5, 2023.

The **Memphis office** market is still facing challenges due to the global economic environment, and its recovery remains difficult. In Q2 2023, the market experienced negative absorption of 106,288 SF. Leasing activity continues to be lower than usual, with only 197,045 SF leased, representing a significant 25% decline from the previous quarter 263,250 SF. Class A properties' average asking rental rate decreased by 4.3% to $22.33 PSF by the end of Q2 2023. The vacancy rate remains high at 15.6%, posing further challenges in the office market.[4]

[3] CBRE Econometric Advisors, June 8 Research 2023
4 CBRE Memphis Office Market, Q2 2023

Poplar Towers & Lipscomb Pitts Project

- The Project, comprised of 2 buildings – Poplar Towers and Lipscomb Pitts, was acquired in November 2017.
- Currently Poplar Towers occupancy rate is 83% and Lipscomb Pitts occupancy rate is at 90%:

	Poplar Towers		Lipscomb Pitts		Combined
Acquisition Date			11/03/2017		
Acquisition Occupancy	58%		90%		76%
	Tenant	**SF**	**Tenant**	**SF**	671 SF
Q2 New leases	JML Financial	671	N/A		
Q2 Vacates	Duncan Williams AM	2,361	N/A		3,509 SF
	Security National Mortgage	1,148			
Current Occupancy (including renewals)	**83%**		**90%**		**86%**

At Poplar Towers, some of our tenants have been facing challenges since before the pandemic, and this quarter we experienced further difficulties as some tenants work more from home or faced financial constraints, leading to increased vacancies. As a result, our occupancy decreased by 3% to 83% compared to the previous quarter. We are actively working to mitigate further potential vacancies by marketing these spaces to relevant tenants. Additionally, we have been proactively engaging with the existing tenants well in advance of their lease renewals to address their concerns and retain them.

As we mentioned last quarter, with Lipscomb Pitts' high occupancy rate of 90%, we saw an opportunity to explore the possibility of marketing the asset for sale. With that said, it is essential to acknowledge that the economic challenges directly impacting on the office market, combined with the current state of the banking sector, have made finding a suitable buyer more difficult. In the last quarter two potential buyers who were initially interested in purchasing the property faced hurdles in obtaining financing from the banks, which led them to withdraw from the sale process. Despite these setbacks, our marketing agents, Cushman and Wakefield, have been proactive in bringing potential deals to the table. We are making every effort to proceed with a sale while striving to maintain the high occupancy rate of 90%.

Considering the above, we continue to withhold distributions for this quarter. We will keep you informed about the progress of the sale process and any further developments regarding the property.

As always, we are here to answer any questions you may have.

Sincerely,

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